

LUNR · FY2026 Q1

2026-05-14

Intuitive Machines, Inc. · 69 turns · 15 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Conference Call Operator

Stephen Zhang

Head of Investor Relations

Addison Yu

Analyst, Deutsche Bank

Anand (for Andres Shepard)

Analyst, Cantor Fitzgerald

Daniel (for Jeff Vanry)

Analyst, Craig Hallam Capital Group

Griffin Boss

Analyst, B. Riley Securities

Michael Leshock

Analyst, KeyBank Capital Markets

Suji De Silva

Analyst, Roth Capital

Operator

Conference Call Operator

Pete McGrath

Chief Financial Officer

Alex Preston

Analyst, Bank of America

Austin Miller

Analyst, Canaccord Genuity

Greg Bendy

Analyst, Clear Street

Jonathan Seidman

Analyst, Stifel

Steve Altomus

Chief Executive Officer

OPERATOR Conference Call Operator

Ladies and gentlemen, thank you for standing by, and welcome to the Intuitive Machine's first quarter 2026 conference call. At this time, all participants are in a listen-only mode. After the speaker's remarks, there will be a question and answer session. To ask a question during this session, you will need to press star 1 on your telephone. You will then hear an automated message advising you that your hand is raised. To withdraw your question, please press star 1 again. Please be advised that today's conference is being recorded, and I would now like to turn the call and conference over to Stephen Zhang, Head of Investor Relations. Please go ahead.

STEPHEN ZHANG Head of Investor Relations

Good morning. Welcome to the Intuitive Machines' first quarter 2026 earnings call. Chief Executive Officer Steve Altomus and Chief Financial Officer Pete McGrath are leading the call today. Before we begin, please note that some of the information discussed during today's call will consist of forward-looking statements, setting forth our current expectations with respect to the future of our business, the economy, and other events. The company's actual results could differ materially from those indicated in any forward-looking statements due to many factors. These factors are described under forward-looking statements in the company's earnings press release and the company's most recent 10-K and 10-Q filed with the SEC. We do not undertake any obligation to update forward-looking statements. We also expect to discuss certain financial measures and information that are non-GAAP measures as defined in the applicable SEC rules and regulations. Reconciliations to the company's GAAP measures are included in the earnings release filed on Form 8K. Finally, we posted an earnings call presentation on our website, which provides additional context on our operational and financial performance. You can find this presentation on our investor relations page at www.intuitivemachines.com/slash/investors. Now I'll turn the call over to Steve Altomus.

STEVE ALTOMUS Chief Executive Officer

Good morning, and thank you for joining us. Intuitive Machines continues to execute, grow, and win new business at record pace. Our acquisition of Lanteris has been immediately accretive with the combined entity value already bearing fruit. The U.S. Space Force Space Systems Command selected Intuitive Machines for the Andromeda IDIQ contract. Under this 10-year vehicle with an anticipated ceiling value of \$6.24 billion, We will compete to design and field next-generation space domain awareness capabilities to detect, track, and characterize objects in geosynchronous orbit. This award marks our first major selection as a combined company following the acquisition of Lanteris. These national security priorities will continue to be one of our main focus areas for growth. Today, we are also pleased to announce the signing of a definitive agreement for the purchase of Goonhilly Earth Station and its subsidiary in the U.S., Comstat. With Kinetics, Lanteris, and now Goonhilly, Intuitive Machines is building the capability to manufacture spacecraft, connect space to ground networks, and operate space infrastructure across multiple domains for a diversified customer base. Intuitive Machines started 2026 with the strongest quarter in our company's history. We delivered record revenue of \$187 million, generated more than \$30 million of gross margin, and produced positive adjusted EBITDA for the quarter. We also exited quarter one with a record backlog of \$1.1 billion, supported by more than \$400 million in new bookings this quarter. Those bookings were led by the Space Development Agency Tranche 3 Tracking Layer Award with L3Harris, as well as our fifth CLPS lunar surface delivery mission. These results show that our strategy is scaling. We are building a diversified space infrastructure company, one that serves commercial, civil, and national security customers across multiple domains. This diversity is reflected in our revenue mix for the quarter, which was 35% commercial, 38% civil, and 27% national security space. That balance matters. Our path to recurring operational revenue starts with diversification. It depends on building critical infrastructure for multiple customers across multiple markets with multiple capabilities that extend from Earth orbit to the lunar surface and on to Mars and beyond. The Lanteris acquisition accelerated this strategy. It expanded our production base, strengthened our near-term revenue foundation, and added capabilities in geostationary orbit, commercial communications, national security, C-band spectrum clearing, and next-generation orbital data centers and relay architectures. At the same time, space activity under NASA's ignition is moving from isolated missions to sustained, cadence and operations. That shift requires new infrastructure, systems to build spacecraft and surface assets, networks to connect them, and services to operate them over time. That is the model we are building at Intuitive Machines. Build is our production layer. Connect is our network layer. Operate is our recurring services layer. Project ignition reinforces all three. Over the last several years, we have invested ahead of this transition. We have developed, flown, and validated systems required to operate on and around the moon. We are one of the few companies with lunar operations experience in the last 50-plus years, and we are well positioned in the areas NASA has now made central to its moon-based architecture across delivery, data, and mobility. So let me start with Build. Build is where infrastructure becomes real. It is where mission demand turns into flight hardware. Production capacity, supply chain discipline, and delivery cadence. This delivery cadence is critical for NASA's ignition initiative, which requires repeatable lunar infrastructure. Eclipse is no longer just a series of individual delivery missions. It is becoming a pathway toward a production line, lunar delivery capability that can support the industrialization of the moon. NASA's moon-based opportunity includes an expected \$20 billion across the first two phases. This includes an increase in the CLPS 1.0 from \$2.6 billion to \$4.2 billion. Our recent CT4 CLPS award and the new CS8 procurement are funded under this CLPS 1.0 contract. CS8 is focused on moon-based payload deliveries using landers with proven heritage and readiness for deployment by the end of 2028. NASA is expected to announce this award in the coming weeks. In addition, a \$6 billion CLPS 2.0 IDIQ was added to support heavier cargo payload deliveries beyond 2028. The scalability of our Nova Sea lander to Nova D and Supernova is the natural next step in support of CLPS 2.0 and has always been the part of our strategic plan. Starting with Nova C, we turn a flight-proven lunar lander into a production line infrastructure platform with a known supply chain, reduced non-recurring costs, and greater schedule reliability. We are already applying that discipline. IM3 entered vertical assembly during the quarter for its expected mission later this year. That mission is expected to launch our first lunar data relay satellite for NASA's

Near Space Network Services contract, bringing our build and connect layers together in one mission architecture. We also completed engine testing for IM4, meeting that mission's requirements as well as engine requirements for IM5, which was our CT4-awarded during this first quarter. This is how flight heritage compounds, shared systems, repeatable hardware, and increasing production efficiency across the lunar delivery portfolio. The moon-based portfolio from Ignition includes the need for lunar mobility. NASA's revised lunar terrain vehicle services approach moves beyond a single demonstration rover toward a phased procurement strategy for sustained surface operations. Intuitive Machines previously received a \$30 million LTV award, and we have rapidly aligned our proposal with NASA's updated requirements through crewed and uncrewed mobility systems. These vehicles are designed around the principles Ignition now demands. Speed, survivability, repeatable production, autonomous and crewed operations, and persistent communications and navigation across the lunar South Pole environments. LTV is important because mobility becomes operational infrastructure once humans and robotic systems are operating on the moon for extended periods of time. We expect award decisions for the crewed and uncrewed LTVs in the coming weeks. NASA's Ignition also extends beyond the lunar surface. Through the extensive work we performed on the Gateway's power and propulsion element, the most powerful solar electric propulsion spacecraft ever built, we are committed to NASA's vision of repurposing this incredible spacecraft to serve as the centerpiece of the U.S. flagship mission to Mars, the SR-1 Freedom nuclear electric propulsion element. This solar and nuclear propulsion element will fly to Mars and deliver the skyfall payload to the surface, representing the boldest advanced propulsive mission ever attempted. That gives our BUILD segment another direct role in Ignition, delivering payloads to the moon and helping repurpose proven spaceflight hardware for the next phase of exploration to Mars. At the same time, BUILD is not a single market business. The same production engine supporting our lunar portfolio is also driving diversified growth across commercial and national security customers. On the commercial side, we're also executing across our IM-1300 series spacecraft line. Sirius XM-11 is complete and ready for transportation to the launch site. And ECOSAR-25 on-orbit testing was successfully completed with expected handoffs to the customer by the end of the month. In national security, we are delivering SDA tranche one, producing tranche two, and were awarded TRONCS III in the first quarter. We were also selected by U.S. Space Force Space Systems Command for the Andromeda \$6.24 billion IDIQ, which we will compete to design and field next-generation space awareness capabilities in geosynchronous orbit. We also submitted an updated AMDT-3 proposal for 18 to 45 spacecraft of which the first 18 are expected to have an award decision in June. In addition, we were given authority to proceed while in final negotiations for two additional satellites for an undisclosed customer. We are also investing in our satellite production line to advance schedules and inventory of upcoming campaigns, including NSNS, Near Space Network Services Contract, the FCC C-band clearing, and the TDRS-related opportunities, that's Tracking Data Relays Satellite Services opportunities. For the 1300 series satellite, we are enhancing digital processor capabilities that will enable our satellites to be reconfigured on orbit. That expands the addressable market from fixed-purpose spacecraft to move to more flexible, software-defined mission architectures with satellites that serve multiple customers. We intend to bring our new space prime culture into the reconfigurable satellite marketplace. So moving on, the next layer is Connect. As Build scales physical infrastructure, Connect makes the infrastructure operational. As mentioned, NASA Ignition significantly increases the expected cadence of missions to and around the moon. That cadence requires persistent communications, navigation, data transport, and control. In other words, Ignition validates the market we've been building toward through our lunar data transmission strategy and near-space network services contract. That is why we believe our agreement to acquire Goonhilly Earth Station Limited and its U.S.-based subsidiary, ComSat, is so strategically important. Together, Goonhilly and ComSat will expand our global ground station capacity across the United Kingdom and the United States, It'll add deep space qualified assets and strengthen our ability to offer customers an integrated and reliable space-to-ground network for communications, data relay, and position navigation and timing. We believe customers want less friction in their mission architecture. They want a single, resilient, interoperable network that can help them communicate with, navigate, and control spacecraft across low-Earth

orbit, lunar orbit, and cislunar environments. With Gunhili, we are expanding our ability to provide that service now and scale it in parallel with demand. Subject to customary closing conditions, including the receipt of applicable regulatory approvals, this acquisition is expected to close in the third quarter. Sustained lunar operations will require a reliable network infrastructure capable of supporting Artemis, international missions, commercial lunar operators, and national security cislunar activity. We are already seeing the architecture come together as we continue to work towards our first lunar relay satellite, Altus 1, expected to launch with IM3. Our satellite production team is completing structural design and moving into manufacturing the satellite bus frame internally. In the coming weeks, we expect to begin an integration of flight hardware. We also completed Artemis II tracking, further validating our interoperability with the Artemis program ahead of Artemis III and Artemis IV. Long term, we believe the value of the infrastructure model begins to compound as we operate. It is the transition from individual missions and hardware deliveries toward persistent services, deeper customer relationships, and repeatable operational revenues. Ignition brings that future closer. A sustained moon base requires delivery, navigation, mobility, and communications. It requires assets that can operate for long durations, mobility systems that support crude and uncrude activity, data services that guide surface operations and navigation tools that help customers move safely and precisely across the lunar environment. That is why LTV matters beyond the initial vehicle build. Under NASA's revised approach, lunar mobility is becoming an operational service requirement. Once delivered, these vehicles are expected to support sustained surface activity through autonomy, teleoperations, traverse planning, communications, maintenance, and mission support. Today, we are already operating persistent lunar data services. Intuitive Machines continues to support NASA's Lunar Reconnaissance Orbiter and ShadowCam to provide imaging operations, data storage, and analysis and mission support around the moon. This strengthens our role as steward of one of the most comprehensive lunar data archives ever assembled. Over the past 16 years, the LROC team has captured more than 2 million high-resolution images of the lunar surface in collaboration with NASA's Lunar Reconnaissance Orbiter team. Those images support terrain models surface feature mapping, composition analysis, and landing site evaluation for Artemis and commercial lunar missions. When paired with our navigation expertise, high-resolution lunar imagery, and our upcoming lunar data relay satellite constellation, these archives can support orbital and surface navigation services for government and commercial exploration. So while OPERATE is the long-term destination of our business model, We are already operating mission critical lunar data systems today. Ignition increases the need for those systems, and our build and connect capabilities give us a path to expand them into recurring operational services across mobility, navigation, communications, and lunar logistics. The next phase of space economy will not be defined only by who reaches new destinations. It will be defined by who can build the infrastructure, connect it reliably, and operate at scale. Looking back this quarter, three things changed materially. First, Lanteris expanded our production scale and margin profile. Second, national security demand accelerated with SBA and Andromeda winds. And third, NASA's ignition framework validated our strategy to build integrated lunar infrastructure and services. Intuita Machines continues to evolve into a vertically integrated aerospace infrastructure and national security platform with expanding recurring service revenue. Quarter one was a record financial quarter demonstrated by integration across all our recent acquisitions. More importantly, it showed that this strategy is moving from thesis to execution. That is what Intuita Machines is building. Now I'll turn it over to Pete for the financial review. Pete.

PETE MCGRATH Chief Financial Officer

Thank you, Steve, and thanks to everyone joining us today. Q1 marked an inflection point for the company financially. We delivered record revenue, positive adjusted EBITDA, and record backlog while closing on the Lanteris acquisition and continuing to invest in future infrastructure capabilities. We ended the quarter with strong growth and record backlog. We delivered a record \$186.7 million in Q1 revenue, approximately three times the first quarter of 2025. As a reminder, we closed the land terrace acquisition on January 13th of this year. Therefore, reported Q1 revenue does not include 12 days of land terrace, which was approximately \$13 million in revenue. Revenue growth was driven by

execution across satellite manufacturing, CLPS missions, homes, and NS&S programs. with balanced contribution from commercial, civil, and national security customers. We also exited the quarter with a record \$1.1 billion backlog, supported by more than \$400 million in new bookings, highlighted by SDA Tranche 3 in February and our fourth CLPS mission, CT4, in March. This backlog provides strong multi-year visibility and reflects increasing demand across both civil and national security markets. Approximately 60 to 65% of our backlog is expected to be revenue in 2026, and the remaining 35 to 40% in 2027 and beyond. Looking ahead, we expect additional backlog growth from several large multi-year NASA and national security programs currently moving through the government procurement cycle, including Golden Dome initiatives, NASA's lunar terrain vehicle, additional Eclipse missions, as well as other NASA project ignition moon infrastructure programs. The quarter continued our margin expansion plan while also making strategic investments in the 1300 series program to grow market share in geo. Gross profit increased to \$30.1 million, up significantly from \$6.7 million in the prior year. This improvement was driven by the growing contribution from our satellite business and the continued expansion of higher margin service revenues, including NS&S. SG&A was \$50.7 million in the quarter, which includes \$20 million of acquisition-related transaction and integration costs, as well as \$6.3 million for a share-based compensation grant tied to the land terrace acquisition that will be expensed each quarter for the remainder of the year. The majority of these acquisition-related expenses are not recurring, and we expect quarterly SG&A to normalize materially as integration activities wind down. Offering loss for the quarter was \$39.2 million versus a loss of \$10.1 million in the first quarter of 2025, driven by acquisition-related transaction integration costs, amortization, and continued investment in next-generation satellite capabilities. Research and development was \$5.6 million in the quarter, These investments are focused on expanding our software-defined satellite architecture, increasing addressable market opportunities in geo- and cislunar communications, and supporting future high-margin infrastructure services. Q1 profitability was a record for the company, as adjusted EBITDA was positive \$2.7 million compared to negative \$6.6 million last year, driven primarily by a higher margin contribution from Lentaris, partially offset by growth investments I just mentioned. Positive adjusted EVA in the quarter demonstrates the improving earnings power of the combined business as revenue scales, customer mix shifts, and operational efficiencies continue to improve. Operating cash used was \$54.8 million in the quarter. This included approximately \$20 million of one-time acquisition transaction and integration costs and \$5.6 million in R&D investments. which I mentioned earlier, as well as \$2 million in additional inventory pre-buy at Lantaris ahead of a commercial opportunity we have later this year. Capital expenditures of \$9.9 million was primarily for our NS&S Valley constellation, resulting in a negative free cash flow of \$64.6 million, which again includes significant one-time costs. As a reminder, CapEx will continue to grow as we invest and build out our five satellite lunar constellation and ground segment. The timing of awards as well as incentive compensation also impacted cash in the first quarter. Free cash flow is expected to normalize throughout the year as we move past one-time acquisition-related costs and new awards start to come in. We ended the quarter with \$232 million in cash. following the successful completion of the land terrace acquisition and a \$175 million capital raise earlier this year. As discussed on our last earnings call, \$403 million of the cash was used in the quarter for the acquisition of land terrace, along with additional post-closed reconciliations that aligned with the \$450 million cash position of the purchase price. As of May 7th, our total shares outstanding are \$217 million with 160.5 million shares of Class A and 56.6 million shares of Class C. Moving on to guidance. We are maintaining our revenue outlook range between \$900 million to \$1 billion. Importantly, a significant portion of our expected 2026 revenue is already supported by contract backlog, giving us strong visibility into our outlook as we await significant award decisions in the coming weeks. On the profitability side, we continue to expect positive adjusted EBITDA for the full year. In summary, Q1 demonstrated continued revenue scale, improving profitability, and growing strategic diversification as we invest in infrastructure capabilities designed to support long-term recurring revenue growth.

OPERATOR Conference Call Operator

With that, operator, we are now ready for questions.

OPERATOR Conference Call Operator

Thank you, and we will now begin the question and answer session. If you would like to ask a question, please press star 1 on your telephone keypad to join the queue. If you would like to redraw your question, simply press star 1 again. If you are called upon to ask your question and are listening via loudspeaker on your device, please pick up your handset and ensure that your phone is not on mute when asking your question. Participants may ask one question and one follow-up during their turn and can just simply join the queue again after if they have more questions. Thank you. And your first question comes from Griffin Boss from B. Riley Securities. Please go ahead.

GRIFFIN BOSS Analyst, B. Riley Securities

Hi, good morning. Thank you for taking my question. So great to see all the progress across the board. I was wondering if you could give some more detail on where you're at in the development stage for the Nebula orbital transfer vehicle. Is that in CDR or approaching it? And is this another platform that you envision you could leverage for, you know, future Andromeda task orders for geo operations in, you know, in addition to actually building the satellites?

STEVE ALTOMUS Chief Executive Officer

Good morning, Griffin. It's good to hear from you. Yes, OTV, Orbital Transfer Vehicle, which is our nebula, as we call it, has passed through CDR with the customer, and we're awaiting phase three, which is a full-scale development and flight of that vehicle. We expect multiple copies of this Orbital Transfer Vehicle in the future to support national security space in geo and cislunar space. Certainly. So it's a very specific, high-thrust, very capable cryogenic propulsive stage that can move into trajectories and orbits well out to 2 million kilometers.

OPERATOR Conference Call Operator

Got it. Thanks, Dave. Appreciate it. Your next question comes from Addison Yu from Deutsche Bank.

OPERATOR Conference Call Operator

Please go ahead.

ADDISON YU Analyst, Deutsche Bank

Hey, good morning. Thanks for taking our questions. You mentioned Orbital Data Center briefly I think earlier. There's clearly a lot of interest I think in the industry and I think a couple of companies in particular have been very vocal. How do you envision Lanteris potentially using its capabilities to take part in this endeavor?

STEVE ALTOMUS Chief Executive Officer

Good morning, Edison. Intuitive Machines as a whole, as a combined company, has some incredible capabilities that we're thinking through as an offering for orbital data centers. The build portion of our company, the production, certainly the power propulsive element, the most highest power generating spacecraft ever built, can be reproduced at 60,000 watts. We're already thinking about you know, 100 kilowatts in terms of power generation. Our capabilities as a company, thinking about thermal management and managing the heat load of edge computing and the need for heat rejection in high-speed computing orbital data centers is critical. And as a space company, we have that skill to manage that. And then if you think about Connect and the network platform that we're building, the ground segment, included with the data relay satellites, including the geosynchronous birds we can put into place. All of that connect operation and the network segment services bring not only a capability to build a data center, but actually to connect it and operate it like no other company can. So we'll be looking for strategic partnerships in this area. We'll be looking for

crystallizing our our offerings in this area as we move forward. And so the future is pretty exciting when we're thinking about these new endeavors for the company.

ADDISON YU Analyst, Deutsche Bank

Understood. And just to follow up on the financial side, is there any update on the contribution from Lentaris for the full year? If we just kind of use the run rate number that you gave, it seems to be around \$400 million, but is that accurate?

STEVE ALTOMUS Chief Executive Officer

We report as a single segment at this point. And, you know, without it, we've worked to integrate the company into one company. That's how we'll report. And you won't see a distinction between Intuita Machines and Lanteris. The data from 2025 has been published. That gave you kind of the run rate in the past. And looking forward, you'll see the top line from Intuita Machines.

OPERATOR Conference Call Operator

Thank you. Your next question comes from Andres Shepard from Cantor Fitzgerald.

OPERATOR Conference Call Operator

Please go ahead.

ANAND (FOR ANDRES SHEPARD) Analyst, Cantor Fitzgerald

Hey guys, this is Anand for Andres. Congrats on the quarter and thanks for taking our question. I just wanted to expand a little bit about the Andromeda IDIQ that was touched on a little bit earlier in the call. Given your selection as one of the awardees under that program, I was wondering maybe if you can discuss what capabilities differentiated the combined intuitive machines and land terrace platform in the selection process, maybe what the economics here look like, and how do you see the positioning of the company in space domain awareness over the next several years given this? Thank you.

STEVE ALTOMUS Chief Executive Officer

Anand, good morning. Yes, the Andromeda procurement, that IDIQ, it was a combined company offering. Our ability to put things in orbit with precision through the acquisition of kinetics, that orbit determination and precision trajectory management definitely comes into space domain awareness and putting assets where you want them to be and knowing where they are. Then you combine that with the 1300 series bus, the production supply chain, the reliability of that bus over time. And then you think about the kinds of things that we do with satellite servicing, with robotics in space, gives us a very strong offering. You know, the fact that we've already been out to the moon, orbiting the moon, landing on the moon, flying those precision trajectories, getting into orbit with precision, all of that feeds putting assets in space right where you need to be and the assets that are highly reliable. So that was the offering, and that's what – they recognized, and I believe that's the reason we got the award we did.

ANAND (FOR ANDRES SHEPARD) Analyst, Cantor Fitzgerald

Gotcha. Appreciate all the color, Steve. And maybe as a follow-up, with the announced acquisition of Goonhilly and ComSat, which was a key focus on the call, I was wondering maybe can you explain how owning an additional ground station changes your ability to deliver the end-to-end space data services across lunar, cislunar, geo, and other applications, and how does that affect your capabilities and economics regarding your NSNS contract? Thank you.

STEVE ALTOMUS Chief Executive Officer

Yeah, that's a good question. The Goonhilly Earth Station and its subsidiary, ComSat, provide up to 44 communication dishes that can reach out to 2 million kilometers, which is the edge of deep space. This acquisition gives us the ability to set up through Goonhilly leadership of a global ground segment network and provide network segment services and the particular APIs that are needed for scheduling for multiple customers. And so having that in-house gives us the expertise to be able to integrate this global network that we're putting together on the ground here on Earth. So it's a very strategic in terms of near space network, and providing that service across the government and to commercial customers and international customers. Being based in the U.K. gives us access to ESA as well as what we have in the United States for NASA. So all around just a perfect fit. They're a very well-established team and incredibly competent, and so that's why we selected them.

ANAND (FOR ANDRES SHEPARD) Analyst, Cantor Fitzgerald

Gotcha.

OPERATOR Conference Call Operator

Thanks for the caller, and congrats again on the quarter, the acquisition, and the progress. I'll pass it on. Thank you. Your next question comes from Austin Miller from Canaccord Genuity. Please go ahead.

AUSTIN MILLER Analyst, Canaccord Genuity

So just my first question, I understand Andromeda is a multi-vendor IDIQ, but how many geocom sats do you expect to build from

STEVE ALTOMUS Chief Executive Officer

uh for that program and do you expect those satellites to have a replacement cycle after the after the 10-year performance period just given they're in geo good morning austin uh what we know so far is we're in uh essentially a design competition and so the first part of this award is is to uh come up with the design uh for a highly maneuverable geostationary orbit satellite. Highly maneuverable, agile satellites is the direction that we see the geo market going. And so this is a good entry point for us in national security space. Again, with our reliability, we build satellites that last 15 years in orbit very reliably and have a supply chain to feed that. So like I said earlier, So we're not yet sure what the order book will look like after the designs are completed. I do believe it's multi-award in terms of the future satellite purchases and won't just be one vendor. They did increase the value over 10 years up to, what, \$6.24 billion. So we know there'll be multiple satellites and certainly anticipate a replacement cycle. But I don't have any more specificity on on the orders or the replacement cycle as the designs aren't yet completed from the awardees.

AUSTIN MILLER Analyst, Canaccord Genuity

Okay. And are you able to comment on the RFP and bid process for the light version of LTV and how the timing of how that's expected to elapse to contract awards this year and lead into a follow-on for a heavier or medium version?

STEVE ALTOMUS Chief Executive Officer

So during the NASA ignition event, they restructured the task orders under the base contract for the three vendors that were awarded. They asked us to modify the LTV design to survive, to make it smaller and survive a single year instead of the larger version, which would last 10 years. That risk was identified by the administrator as too big a first step. And so they wanted to give the vendor pool an opportunity to walk up on this autonomous capability, build a smaller, simpler version, lessen some of the crew requirements in terms of how to operate it with crew. And so they came out with a new task order for crewed and uncrewed version. We had to submit a proposal late April, I believe, and the award NASA has indicated will be on May 22nd, we believe, that's the latest we've heard, for accrued and uncrewed. There's an option to

buy multiple versions of those, so we'll see how the selection goes. There is a plan in the moon base to, which is, what 30 billion over seven years moving forward. I believe it's seven years to develop heavier and heavier cargo deliveries. And we think that that might include multiple future awards of LTV and they can be increasing capability also over this 15 year contract. So we'll wait and see what the next task orders look like and our cautiously optimistic about the awards in May for LTV.

OPERATOR Conference Call Operator

Very exciting. Looking forward to it. Thank you. Thanks, Austin. And your next question comes from Greg Bendy from Clear Street.

GREG BENDY Analyst, Clear Street

Please go ahead. Okay, thanks for taking my question. Can you just comment on maybe the competitive environment for the LTV? Has that changed? Are there more bidders now coming in from, say, where where the landscape was at the end of 2025?

OPERATOR Conference Call Operator

Yes, good morning, Greg.

STEVE ALTOMUS Chief Executive Officer

The landscape remains the same. The initial contract, I believe it was a \$4.6 billion contract, was awarded to three vendors. Each vendor received a design award that lasted one year to come up with an LTV design. Then we bid, the three of us vendors bid on an LTV delivery and demonstration mission. That task order was restructured to bring a crude and uncrewed version up to the moon and lasts for a year versus 10 years. The same three vendors that won the initial award are the ones that are in the competition to for the modified LTV award coming up here at the end of May. So the landscape looks the same in this competitive environment with no additional bidders added to the vendor pool. Great.

GREG BENDY Analyst, Clear Street

And I just get one more. Financially, the CapEx, that was around \$9 million tied to the satellite. Should that roughly round out to \$30 million for the year?

STEVE ALTOMUS Chief Executive Officer

Pete, why don't you take that one?

GREG BENDY Analyst, Clear Street

Sure.

PETE MCGRATH Chief Financial Officer

Yes, I think we're going to see as we start building out. We have one we're flying this year. We're going to fly two more next year and two more the year after that. So I think you'll see the values grow a little bit to account for the increased volume in satellite build going forward.

OPERATOR Conference Call Operator

Got it. Thanks. And your next question comes from Jonathan Seidman. From Stifel, please go ahead.

JONATHAN SEIDMAN Analyst, Stifel

Hey, good morning. Thanks for taking my question, and congratulations on the progress. Thank you. We were excited about the new acquisition. That's a long history there. Can you talk a little bit about how that deal came together and any more details you can share on how we can model that moving forward in the second half? Thank you.

STEVE ALTOMUS Chief Executive Officer

Yes, in February of 2025, we put together an M&A strategy of the kind of capabilities we wanted to add to the company. You saw us now with this is the third. Kinetics was the first, Land Terrace was the second, and Goonhilly was the third. This capability, we've had a strategic partnership with Goonhilly for a number of years now. They were instrumental, if you recall, in mission one. When we sat quietly in the control room and we were waiting for the heartbeat of Odysseus, our Nova Sea lander on the South Pole, it was Goonhilly who acquired the signal from our radios on the South Pole of the moon. So they have been instrumental partners with us in our success to the moon, and it only made sense to broaden our relationship and integrate it and set them up as the leader of our global ground segment. So we expect them to continue and will continue to grow and feed the market that we've captured in cislunar space with the Near Space Network contract. So it's a growth opportunity for Goonhilly, and it's strengthening our capabilities in intuitive machines.

JONATHAN SEIDMAN Analyst, Stifel

That's great. And then maybe I'll just ask another one on the backlog timing. So when we compare what you're disclosing now as of March 31st with what you disclosed previously as of February 28th, and the backlog increase, it looks like the incremental awards you got added to backlog are actually additive to 2026. So it looks like it's near-term work. Is that the right way to look at it, or is there any other – color we can take on how the quarterly cadence for the rest of the year might shape up. Thank you.

PETE MCGRATH Chief Financial Officer

Yeah, I would say that they are primarily, you see a lot of near-term. I'd say over the next 24 months, a lot of that revenue hits on some of the near-term things like the tranche deliveries. CT4 is a little bit further out. We talked about 60% to 65% of that backlog would be seen this year. There is also additional awards we're expecting, which would also bring in revenue in the second half of the year. So that's what we're looking at in terms of backlog conversion as well as potential opportunities on revenue.

STEVE ALTOMUS Chief Executive Officer

One other thing I'd add to the future potential awards that Pete mentioned is that we did talk about a flurry of procurements that came out as a result of the NASA ignition event. We talked about the LTV late May award potential. There's another CLPS mission called CS8, which could be multiple lander awards in a single procurement. We expect that in mid-June or so. Also, we're working on a proposal for the TDRS, Tracking Data Relay Satellite System, which is a draft RFP is out. We're working on a proposal. And the other one is The C-band clearing at the geosynchronous orbit there, they're retiring some of the upper portion of the C-band frequency, and so there'll be some KA-band satellites to bid on, and those awards will be happening over the summer, we believe, commercially. So quite a bit of catalysts coming up in the future on future awards that'll add to the backlog, we hope.

OPERATOR Conference Call Operator

Busy business development team. Thank you again.

OPERATOR Conference Call Operator

Next question comes from Michael Leshock from KeyBank Capital Markets. Please go ahead.

MICHAEL LESHOCK Analyst, KeyBank Capital Markets

Hey, good morning. I just wanted to follow up on clips in the NASA's ignition program calling for a potential monthly lunar cadence. potentially 30 or so landings before the end of the decade, and you just talked about CS8 in mid-June. Do you expect to start seeing these contracts and revenue come through for these missions in the very near term, just given how you typically begin recognizing revenue a few years ahead of the mission? Are these coming in weeks or months, or could they potentially be recognized a bit closer to the mission than you would typically recognize them historically?

STEVE ALTOMUS Chief Executive Officer

Thanks for the question. What we see is a request to build in 24 months. We put in a CS8 proposal, which could select one, two, or three lunar landers out of a single proposal and multiple awards. We've scaled our production, leveraging the production capability of Lantaris, coupled with Intuitive Machines. gives us the ability to produce multiple landers in 24-month cycles at a time in parallel. So that will be near-term. The longer-term version of this is called CLPS 2.0, and that's the next 10 years of CLPS. I think they've set aside \$6 billion for Eclipse 2.0, where we move towards heavier and heavier cargo deliveries to the moon. And so you'll see our Nova D and Supernova variants of our lander come into play here in the coming years. We expect that procurement to be later in the year. The draft, I think, is in work, but the award will be maybe in the November timeframe. So that'll hit in subsequent years while we're still finishing out the Eclipse 1.0 budget bucket.

MICHAEL LESHOCK Analyst, KeyBank Capital Markets

Great. And then is there anything that needs to happen to scale the business further from a production standpoint to meet these exponentially higher demand levels for landers? Is that going on right now? And how quickly can you make one? Thanks.

STEVE ALTOMUS Chief Executive Officer

Yeah, we've looked hard at the process. We are in the process of streamlining the And one of the things that's very competitive from an intuitive machine standpoint is the strength of the supply chain. The number of spacecraft that we're involved in and building exercises the supply chain in a very positive way. And so we can get some benefits on delivery schedules as a result of the volume that runs through the supply chain. So that's really kind of how we've been looking at it, plus improving the production techniques and the ground support equipment that allows us to process multiple vehicles at the same time. You know, with our current expansion here in Houston, doubling our capacity in facilities over the past couple of years, and then out at – California land terrace with over 600,000 square feet of production space really does allow us to step up quickly and respond to the needs of the customer.

OPERATOR Conference Call Operator

Great. Thank you. Thank you. And your next question comes from Jeff Vanry from Craig Hallam Capital Group.

DANIEL (FOR JEFF VANRY) Analyst, Craig Hallam Capital Group

Please go ahead. Hey, this is Daniel on for Jeff. Good morning, Steve, Pete. Most of my questions here have been asked. On this AMD T3 proposal for 18 to 45 spacecraft, I don't think I've seen that referenced before. T3, I don't know, is that another way of referencing the Tranche 3 tracking layer? Just if you could expand on what that opportunity is that you're anticipating there.

STEVE ALTOMUS Chief Executive Officer

Yeah, so the SDA Tranche 3 tracking layer is what you've been hearing about. You've been hearing about a transport layer and you've been hearing about a tracking layer. Independent of that, there's another series of tracking satellites that are being requested that is not part of the tracking layer associated with the Space Development Agency.

DANIEL (FOR JEFF VANRY) Analyst, Craig Hallam Capital Group

Okay, and is that something where you would potentially go prime on that and deliver that directly, or this is something where you're expecting L3Harris to potentially be bidding on that and that you could build the buses for that again? Or what's the opportunity there?

STEVE ALTOMUS Chief Executive Officer

Yeah, this is, again, all the great work that we've done together between Matunda Machines or Land Terrace and L3 Harris. This is a continuation of that relationship and extending that relationship even further.

OPERATOR Conference Call Operator

Okay, that's helpful. Thanks, Steve. Your next question comes from Alex Preston from Bank of America.

OPERATOR Conference Call Operator

Please go ahead.

ALEX PRESTON Analyst, Bank of America

Hey, good morning. Thank you for taking the question. I just wanted to go back to Goonhilly. Maybe beyond NSNS, I'm curious if or where you might see synergies on future contract awards or if there are broadly other opportunities or capabilities that you see yourself as more capable of bidding for now than previously with that.

STEVE ALTOMUS Chief Executive Officer

Let me think about that. What we really had focused on was get the ground segment in our space to ground network established and built out, as someone said on the call, as a platform. And so then how you use that platform is really the growth opportunity anchored by the Near Space Network contract, which is 10 years \$4.8 billion, gives us a clear market potential there. And that is only expected to grow across other government agencies and commercially. So the addition alone was to help us with the ground segment for the Near Space Network. But using that network over time is really where we're going to go together with with world-class leadership in space-to-ground communications. Currently, we see the revenue of Goonhilly Air Station around \$14 million annually, so it's not that significant, but coupled with Intuitive Machines' market, we see incredible growth.

PETE MCGRATH Chief Financial Officer

Yeah, the other aspect of Goonhilly is, as Steve mentioned, it's over 44 dishes both in the UK and in the United States, those are not only large dishes that can talk to the moon, but they're dishes that actually can also talk to LEO and GEO. And as we start putting together full service opportunities like TDRS, it comes into play as to how we integrate that ground network with our service offering as we go forward.

STEVE ALTOMUS Chief Executive Officer

I guess the other point, as I'm thinking through the question, if you recall, I believe last week, quarter or in February, I spoke about a strategic partnership with Leonardo at Telespazio to dovetail the Moonlight constellation with the Intuitive Machines data relay constellation. So the work where we combine the ESA work or European work with U.S. work, Goonhilly is a great bridge for that relationship.

ALEX PRESTON Analyst, Bank of America

Got it. Thanks. Just to follow up, you mentioned sort of more broadly on the M&A roadmap. This is sort of the latest in your sort of plan. Where else are you seeing opportunities for M&A? Is it still sort of bringing in key systems more vertically, or are you thinking about horizontal space exposure opportunities? Just kind of curious if you could provide any update there on where you're looking at opportunities.

STEVE ALTOMUS Chief Executive Officer

We continue the effort to look at M&A opportunistically. We laid out a plan and executed against the plan from February 25 to today. And so taking another hard look, we'll look at things as where the market steers us. I talked a little bit about orbital data centers, talking with strategic partners. We'll think about strategic financing. We'll think about M&A when it comes to those offerings as those crystallize.

OPERATOR Conference Call Operator

Great, thank you for taking the questions. Appreciate the color.

OPERATOR Conference Call Operator

Before we proceed, again, if you want to join the queue, simply press star one. And your next question comes from Suji De Silva from Roth Capital. Please go ahead.

SUJI DE SILVA Analyst, Roth Capital

Hi, Steve. Hi, Pete. Just trying to dig into the land terrorist opportunity now within Intuitive Machines. The Demand for agile spacecraft sounds very comprehensible in the government defense world. I'm wondering how that might extend into the commercial world, that feature, that capability of these spacecraft, or whether it's really more of a defense play.

STEVE ALTOMUS Chief Executive Officer

Suji, good morning. I think it's a combination of defense or national security space in RGXX and other programs that are coming. for highly maneuverable geosatellite birds. If you recall, we spent a lot of time over the past couple of years talking about satellite servicing and the OSAM mission, the On-Orbit Satellite Servicing and Manufacturing. That ability to couple robotics with a highly reliable bus. Recall that that OSAM bus was built by Maxar at the time, which is Land Terrace and now Intuda Machines. So we have an inherent capability to do satellite servicing robotically. And so as that market develops in the future, that'll be a potential commercial entry point for us that leverages the same kind of technology that we're talking about here in RGXX. Okay, great.

SUJI DE SILVA Analyst, Roth Capital

Very helpful, Steve. And then maybe, you know, I remember from the first few missions, the challenges, obviously, And then I'm wondering if you could draw a line from that to the future where you have Goonhilly in-house versus a partner and these dishes, and also have lunar satellites orbiting, helping. Just the, obviously nothing is certain with a lunar landing, but the increased confidence versus before and after would be very helpful to understand.

STEVE ALTOMUS Chief Executive Officer

Yeah, we've done a lot of work with Goonhilly and others, including the Deep Space Network for NASA to improve our ability to perform orbit determination to get into lunar orbit precisely. We've had the acquisition of kinetics, again, who are masters at flying trajectories. You know, they've flown to every, done a mission to every planet in the solar system except for Neptune, I believe. So very exotic trajectories and exotic navigation techniques to get to where they need to be. And then you take that with a, couple that with a world-class ground station like Goonhilly Earth Station, you now can really synchronize and use that as a testbed to just test out the new technologies for ground segment communica-

tions to space. So you have a gold standard that you can develop capabilities that will help us integrate in a more uniform way the global network that we're putting together on the ground. And so I really use it as a benchmark and a gold standard site to continuously improve on ground segment communications and navigation.

OPERATOR Conference Call Operator

I appreciate that, Steve. Thank you. Thank you, Suji.

OPERATOR Conference Call Operator

There are no further questions at this time. And that concludes the Q&A session of this call. I'll hand it back over to Steve Artemis for any closing remarks. Please go ahead.

STEVE ALTOMUS Chief Executive Officer

Well, thank you, everyone, for your questions today. I appreciate them. Give me an opportunity to answer them. As you heard, quarter one was a strong start to the year and a record quarter for Intuitive Machines. We look forward to continued execution and award decisions in the coming weeks. Thank you very much.

OPERATOR Conference Call Operator

Ladies and gentlemen, thank you all for joining, and that concludes today's conference call. All participants may now disconnect. Thank you.